Downward Breakouts

Reversal or continuation	Short-term bearish continuation
Performance rank	29 out of 36
Breakeven failure rate	35%
Average drop	13%
Volume trend	Upward
Pullbacks	64%
Percentage meeting price target	32%

The descending broadening wedge has performance that gravitates toward the bottom of the list of chart patterns. However, it does have one redeeming quality. Almost half (47%) of downward breakouts will bust, and of those, 75% of them will single bust. The average rise for single busted patterns is (drum roll, please) 65%. That's huge. The computation uses 75 samples, and the median rise is 44%. Half the patterns will see price rise more than 44%. The results are something to look forward to.

Let's take a tour, look at the numbers, and see if we can figure out how to trade these patterns.

Tour

What does the formation look like? **Figure 13.1** shows a well-formed descending broadening wedge bounded by two trendlines. In September, the stock starts down in tight oscillations that broaden over time. A month later, two trendlines drawn across the highs and lows make the descending broadening wedge shape clear.

Volume at the start of the pattern is well below normal. As the wedge develops, volume is erratic, but trends higher. Computing the slope of the volume line using linear regression confirms the result: Volume is increasing. Usually increasing volume helps propel a stock upward. I like to see that in my trades as price rises to the ultimate high.

In mid-October, price gapped up (breakaway gap) and shoots above the upper trendline. An upward breakout occurs. Volume spikes and continues to be heavy for several days as price climbs.